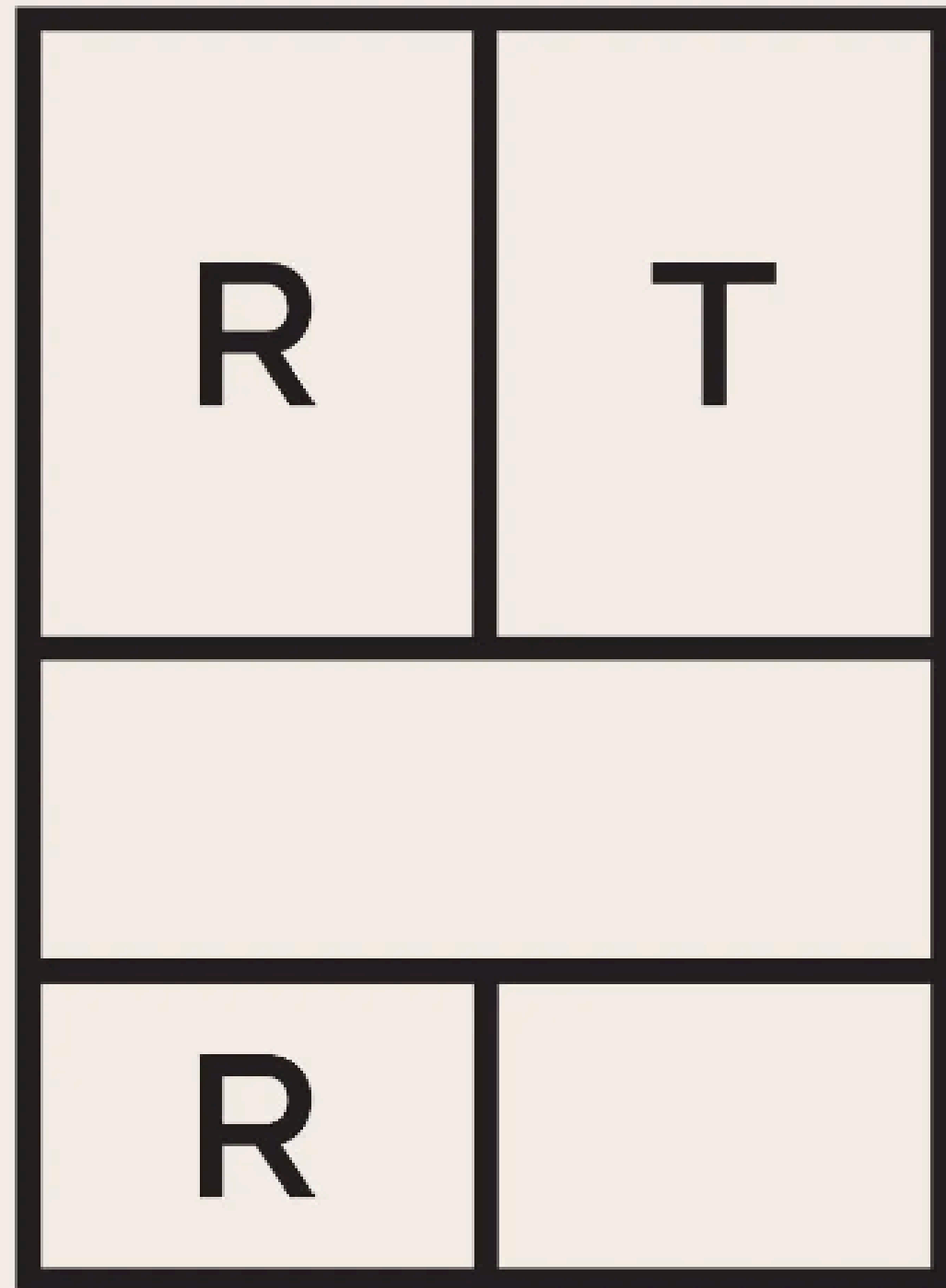




RENT THE RUNWAY

TEAM THRIFTY RENTER

Team members:

Ashutosh Shimpi
Aishwarya Shetiya
Lahari Kondreddy
Cody Koo
Vighnesh Nataraja Harish

Quantitative Analysis

1. Growth & Success

- Rapid Expansion: Gained over 150,000 members within a short period, reflecting a strong market interest.
- Innovative business model: Disturb the traditional fashion retail for younger women interested in fashion.
- Sustainable Business: Save garment waste and less production reduce the carbon emissions.

2. Challenges & Key Issues

- Product Quality: Maintaining the quality of clothes is difficult, & customers often complain about damaged products & cleaning conditions.
- Inventory Management: Insufficient stock affecting availability & customer satisfaction.
- Website Issues: Technical problems disrupting user experience & potentially driving customers away.

3. Critical Decisions

- Customer Experience and Personalization: Seamless, personalized user experience is key to retaining customers and attracting new ones.
- Operational Efficiency: Managing logistics, inventory, and supply chain effectively
- Financial Constraints: Balancing the need for capital with the risk of overextension.

4. Strategic Focus Areas

- Customer Feedback: Gather insights from reviews and surveys to enhance the rental experience.
- Improve Website & App experience: Add Try-on function to reduce customer size complaints.
- Brand Perception Study: Conduct focus groups or in-depth interviews to assess how customers view RTR versus competitors, focusing on quality, service, and brand value.



Accelerated expansion scenario

Rent The Runway should raise funding in 2010, as accelerated growth from new product ranges results in a gross margin of approximately \$2.3 million, improving valuation for the future.



Breakeven Scenario

Pursuing the breakeven plan results in a lower gross margin of about \$2 million, even with fewer inefficiencies, due to a reduced market share and potential hindrance to rapid future growth.

	No Fundraising	Fundraising & Expansion
Revenue	\$2,916,000	\$3,402,000
Revenue Lost Due to Inefficiencies	\$324,000	\$378,000
Logistics Inefficiency Costs	\$111,600	\$242,100
Adjusted Gross Margin	\$2,012,000	\$2,295,900

[Find the complete scenario analysis over here](#)📎

Recommendation

- Rent The Runway should accelerate fundraising in 2010 to expand inventory and product range rather than waiting till 2011.

Why Fundraising Now?

- **Market Opportunity:** To expand into accessories market as it's proving to result in higher gross profit.
- **Customer Demand:** Meet diverse customer needs with an expanded product ranges such as maternity clothes, shoes, accessories etc., can be a profitable move.
- **Operational Efficiency:** Improve technology and logistics for better customer experience.

Rent The Runway should devote significant resources to the below for success post fundraising –

- **Expanding Product Offerings:** Introduce high-end jewelry, designer handbags, stylish maternity wear, and fashionable footwear to attract a broader customer base and increase order value.
- **Enhance Digital Experience:** Redesign the website for seamless navigation and mobile responsiveness. Implement a personalization engine to tailor recommendations and chatbots for for 24/7 customer support.
- **Optimize Operations:** Invest in an advanced inventory management system and adopt automated warehousing solutions. Improve logistics with efficient delivery routes to enhance operational efficiency and customer satisfaction.